COMMUNITY FOUNDATION for Muskegon County

PROGRAM RELATED INVESTMENT GUIDELINES

The Community Foundation for Muskegon County may make loans to catalyze and advance projects that align with our Values and Strategic Goals utilizing the corpus of the Community Foundation's assets (impact investments), as well as funds designated to allow for loans from the corpus (program related investments).

VALUES:

These values represent the very fabric of the Community Foundation, and are woven into our daily work, going beyond good intention.

- Hope and opportunity, particularly for youth - Empowering community members to have aspirations for a bright future and creating Opportunities for them to realize their dreams.
- Collaborative community goals and decision making - Supporting active partnerships that are working together sharing power, resources, and decision-making for the common good.
- An inclusive community - Building a welcoming, accepting community that respects difference and actively promotes full participation by all people; a place where everyone has the opportunity to share their voice, to participate in decisions that affect their lives, and to have access to all the community has to offer.

STRATEGIC GOALS:

To catalyze change within the focus areas, we have identified three, decades-long strategic goals.

- Advance educational attainment *(Education)*
- Foster a dynamic, local economy *(Community and Economic Development)*
- Enhance community trust and promote prosperity for all *(Diversity, Equity, and Inclusion)*

PROGRAM RELATED INVESTMENTS (PRI)

are loans made from specific designated funds to advance the works of the Community Foundation. PRI related loans are typically made at the defined benchmark rate (dbr) or dbr, minus 1 – 2%.

IMPACT INVESTMENTS (II)

are loans made from the assets of the combined investment funds. They represent a portion of the combined investment funds fixed asset portfolio, and all Impact Investments shall not total more than 5% of the combined investment fund assets, nearly $12.5 million in September 2023. Impact investment loans are typically made at the defined benchmark rate or dbr, plus 1 – 2%.

As interest rates have risen, community interest in our program related investments and impact investments has grown, as organizations seek to reduce interest payments and keep costs low. To prioritize available funds, staff propose the following guidelines on requests for program related investment and impact investment funds:

- Housing equity: Investments will prioritize the creation of new housing units, with a priority on workforce housing and subsidized housing. In addition, priority will be placed on concentrating housing in neighborhoods or areas experiencing disinvestment, such as Muskegon Heights.
- Small Business supports: Investments will prioritize entities such as Community Development Financial Institutions (CDFIs) that infuse capital in small businesses, with a focus on those owned by women and people of color.
- Building an inclusive economy: Investments will prioritize economic development efforts that support employment, job training, access to skilled trades, and wealth building opportunities for economically-disadvantaged populations.
- Nonprofit bridge loans: The Community Foundation will consider bridge loans to nonprofits who are expanding their infrastructure to increase or improve access to programming

OTHER GUIDELINES:

- Preference to entities that are not eligible for a traditional bank loan, or that demonstrate that the terms of a bank loan make the project unfeasible.
- Terms will typically be 3-5 years to allow capital to recirculate in the community. Extended terms with balloon payment at 7-10 years may be considered under extraordinary circumstances.
- Requesting entity must demonstrate positive community impact, with a preference given to those impacting historically disadvantaged populations.
- All projects must demonstrate sufficient collateral.